BASIC MATERIALS · GOLD

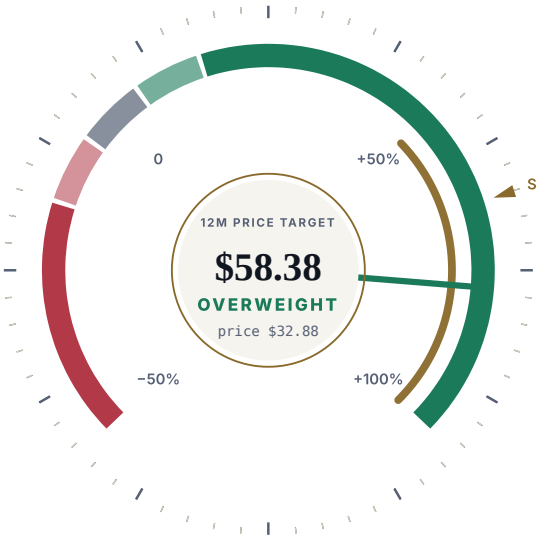
Gold Fields Limited GFI

CYCLICAL / COMMODITIES (MID-CYCLE MULTIPLES + DCF)

OVERWEIGHT 12-month horizon · confidence **High**

12M PRICE TARGET	EXPECTED TOTAL RETURN
$58.38	**+78%**
bear $49.55 · bull $67.47	price +78%

FAIR VALUE TODAY	STREET CONSENSUS
$54.62	**$54.28**
$46.79 – $62.73	+65%



Price $32.88 · Ke 8.20% · discount rate 7.71% · data: Yahoo snapshot as of 2026-07-08

01 INVESTMENT THESIS

We rate **Gold Fields Limited (GFI) OVERWEIGHT** with a 12-month price target of **$58.38** — a +78% move from $32.88. The shares look undervalued on 4 lenses: Discounted cash flow (FCFF), Forward P/E, Forward EV/EBITDA, Mid-cycle normalized EV/EBITDA. Their weighted fair value today is **$54.62**, rolled forward at the 8.2% cost of equity.

Gold Fields Limited generated $8.75bn of revenue at a 50% EBIT margin in the latest fiscal year, having compounded the top line at 26.9% over the historical window. Market capitalisation stands at $29.41bn with $1.44bn of net debt.

Consensus EPS of $5.61 gives an NTM figure of $5.61, i.e. 5.9x at today's price. Because forward earnings are 3.2x what the business has earned through the cycle, we scale target multiples by 0.79 — the market pays less for peak earnings, and so do we.

For context, the Street's mean 12-month target is $54.28 (+65%). Our model-only target of $59.10 sits 9% above it; the published target gives the consensus a 15% weight, a deliberate hedge against model error that we disclose rather than hide.

A reverse DCF shows the market is discounting year-one revenue growth of 15.0% against our 25.0% base — the price demands less than we model.

Spot margins mislead at both ends of the cycle: value on mid-cycle EBITDA and through-cycle multiples, with forward multiples (scaled for earnings durability) and a mean-reverting DCF as cross-checks.

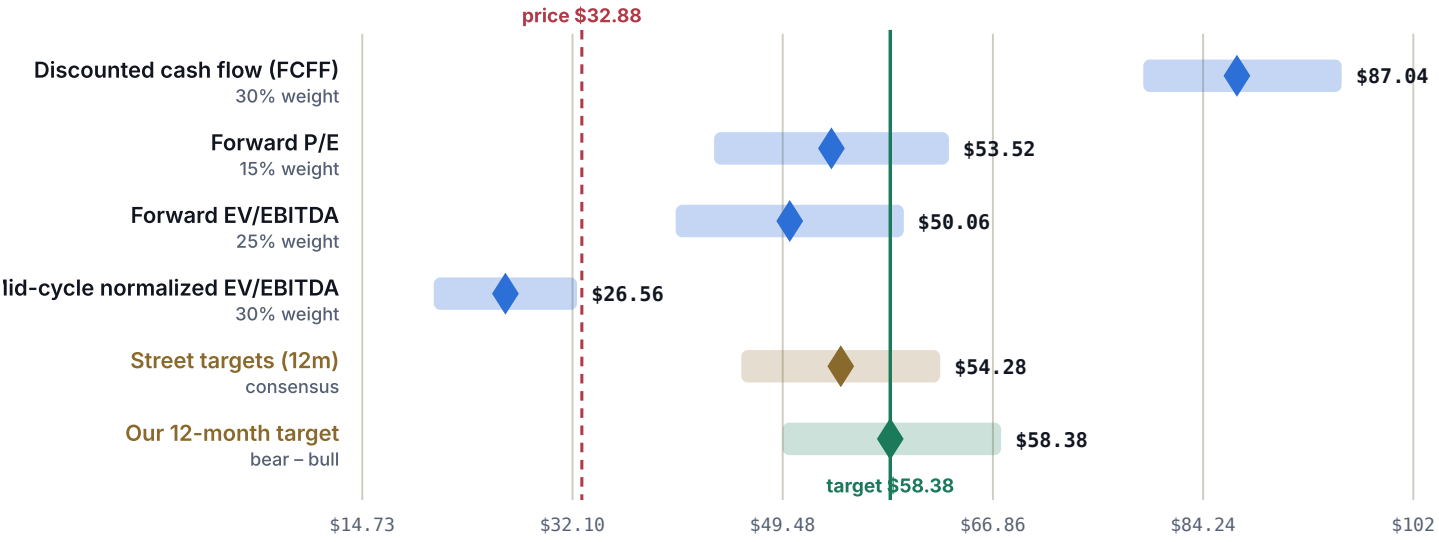
KEY DATA

Market cap	**$29.41bn**
Enterprise value	**$30.85bn**

Net debt	**$1.44bn**
Net debt / EBITDA	**0.2x**
EV / EBITDA (LTM)	**4.9x**
P/E (LTM)	**8.3x**
FCF yield (LTM)	**8.9%**
Dividend yield	**–**
Beta	**0.52**
Diluted shares	**894mn**

02 VALUATION SUMMARY — WHAT EACH LENS SAYS

EXHIBIT 1 · VALUE PER SHARE BY LENS VS. PRICE, STREET AND OUR 12-MONTH TARGET



LENS	TYPE	FAIR VALUE TODAY	RANGE	WEIGHT	STATUS
Discounted cash flow (FCFF)	INTRINSIC	$87.04	$79.38 – $95.62	30%	USED
Forward P/E	RELATIVE	$53.52	$43.88 – $63.15	15%	USED
Forward EV/EBITDA	RELATIVE	$50.06	$40.71 – $59.41	25%	USED
Mid-cycle normalized EV/EBITDA	SECTOR	$26.56	$20.72 – $32.40	30%	USED
Blended fair value (today)		**$54.62**	**$46.79 – $62.73**		
× (1 + Ke) − dividends → model 12-month target		$59.10			
Street mean target (weight 15%)		$54.28			

LENS	TYPE	FAIR VALUE TODAY	RANGE	WEIGHT	STATUS
Published 12-month price target		**$58.38**	**$49.55 – $67.47**		**+78%**

Confidence: High

- 4 independent lenses agree on a valuation
- lens dispersion is moderate (CV 40%)
- model target is within 25% of the Street
- 1 data-quality / earnings-quality flag(s)

Guardrails & disclosures

Target anchored 15% to the Street consensus ($54.28); model-only target $59.10.

Forward EPS is 3.2x the through-cycle average; target multiples are scaled by 0.79 for earnings durability.

03 THE LENSES IN DETAIL

Each lens is an independent answer to *what is a share worth?* Relative lenses apply a target multiple to forward numbers; the DCF values the cash flows; sector lenses use the model that fits the business. Every input is shown so any number can be challenged.

Discounted cash flow (FCFF) INTRINSIC

$87.04

$79.38 – $95.62 · 30% weight

WACC	7.71%
Terminal growth	2.50%
PV of explicit FCFF	$32.72bn
PV of terminal value	$46.81bn (59% of EV)
Enterprise value	$79.53bn
− Net debt & minorities	$1.68bn
Equity value	$77.85bn
Value per share	$87.04

10-year FCFF DCF: consensus for the near years, geometric growth decay, mean-reverting margins, terminal reinvestment tied to growth/ROIC. Range = bear/bull scenarios.

Forward P/E RELATIVE

$53.52

$43.88 – $63.15 · 15% weight

Consensus EPS	$5.61 (FY2026)
Forward EPS	$5.61
Anchor P/E	12.0x — Precious metals reference 12.0x (no usable peer set)
Growth adjustment	×1.00 (6.0% durable growth vs 6.0% sector)
Earnings-durability factor	×0.79 (forward EPS far above through-cycle)
Leverage adjustment	×1.00
Target P/E	9.5x
Value per share	$53.52

Target multiple x NTM EPS. The multiple is anchored on peers/sector, then scaled for durable growth, leverage and how far forward earnings sit above what the business has historically earned.

Forward EV/EBITDA RELATIVE

$50.06

$40.71 – $59.41 · 25% weight

NTM EBITDA (from consensus earnings)	$8.99bn
Anchor EV/EBITDA	6.5x — Precious metals reference 6.5x (no usable peer set)
Growth adjustment	×1.00
Earnings-durability factor	×0.79
Target EV/EBITDA	5.2x
Enterprise value	$46.46bn
− Net debt	$1.44bn
Value per share	$50.06

Capital-structure-neutral cross-check to forward P/E: it values the operating business and then bridges to equity through net debt.

Mid-cycle normalized EV/EBITDA SECTOR

$26.56

$20.72 — $32.40 · 30% weight

Through-cycle EBIT margin	39.2%
Spot EBIT margin	50.3%
Normalized EBITDA	$4.35bn
EV/EBITDA multiple	5.9x (through-cycle default)
Enterprise value	$25.44bn
− Net debt	$1.44bn
Value per share	$26.56

Commodity spot margins mislead at cycle peaks and troughs; this normalises to the through-cycle average margin and multiple.

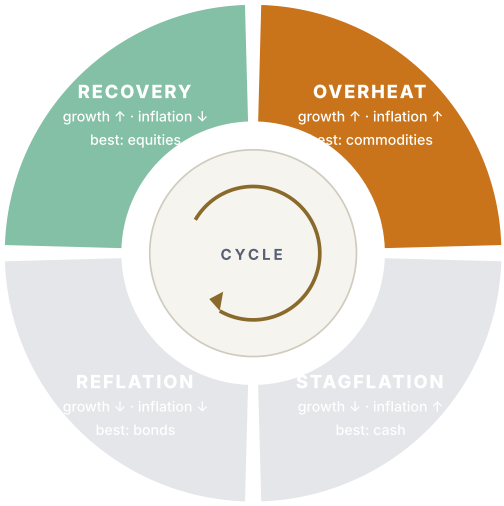
04 EARNINGS QUALITY & CYCLE

Trailing EPS	$3.98
Consensus EPS FY2026	$5.61
Consensus EPS FY2027	—
NTM EPS used	**$5.61**
Through-cycle (historical average) EPS	$1.74
Forward ÷ through-cycle	3.2x
Durable EPS growth used	6.0%
Earnings-durability factor on multiples	×0.79
Basis	consensus (single year)

Cyclical or in an earnings inflection. commodity / capital-cycle industry.

Growth source: historical revenue CAGR (capped at 15%); capped at sector growth (cyclical). Multiples price *durable* growth, so a one-year recovery step is never extrapolated, and when forward EPS is far above what the business has historically earned the target multiple is scaled down — the market pays less for peak earnings.

05 WHERE IT SITS ON THE INVESTMENT CLOCK



Overheat and **Recovery** are the phases in which Basic Materials has historically led, on the classic Merrill Lynch Investment Clock sector map (growth × inflation, rotating clockwise: Recovery → Overheat → Stagflation → Reflation).

Illustrative sector affinity, not a call on where the economy is today: this tool reads company fundamentals and consensus, not macro data. Use it to ask whether the thesis above needs the cycle to cooperate.

06 FINANCIAL SUMMARY & VALUATION

$, PER SHARE WHERE NOTED	FY2024A	FY2025A	FY2026E	FY2027E	FY2028E	FY2029E
Revenue	$5.20bn	$8.75bn	$10.94bn	$11.64bn	$12.26bn	$12.82bn
growth	+15.6%	+68.2%	+25.0%	+6.4%	+5.3%	+4.5%
EBITDA	$2.67bn	$6.34bn	$9.48bn	$9.77bn	$9.94bn	$10.04bn
EBIT margin	40.2%	50.3%	71.7%	68.9%	66.1%	63.3%
EPS	$1.39	$3.98	$5.61	$5.74	$5.80	$5.81
FCFF/share	$0.91	$3.07	$4.96	$5.05	$5.15	$5.20
EV/EBITDA	11.6x	4.9x	3.3x	3.2x	3.1x	3.1x
P/E	23.6x	8.3x	5.9x	5.7x	5.7x	5.7x
FCF yield	2.6%	8.9%	14.4%	14.6%	14.9%	15.1%

Multiples struck at the current price/EV against each year's estimates. Forecast EPS approximates net income as (EBIT − LTM interest) × (1−t).

07 FINANCIAL MODEL — HISTORICALS & PROJECTED P&L

FISCAL YEAR	REVENUE	GROWTH	EBIT	MARGIN	NET INCOME	EPS
2022A	$4.29bn	—	$1.44bn	33.5%	$711mn	$0.80
2023A	$4.50bn	+5.0%	$1.47bn	32.6%	$703mn	$0.79
2024A	$5.20bn	+15.6%	$2.09bn	40.2%	$1.25bn	$1.39
2025A	$8.75bn	+68.2%	$4.41bn	50.3%	$3.57bn	$3.98
2026E	$10.94bn [A]	+25.0%	$7.84bn	71.7%	$5.02bn	$5.61 [A]
2027E	$11.64bn	+6.4%	$8.02bn	68.9%	$5.14bn	$5.74
2028E	$12.26bn	+5.3%	$8.11bn	66.1%	$5.19bn	$5.80
2029E	$12.82bn	+4.5%	$8.12bn	63.3%	$5.20bn	$5.81
2030E	$13.33bn	+4.0%	$8.07bn	60.5%	$5.16bn	$5.77
2031E	$13.80bn	+3.5%	$7.97bn	57.7%	$5.10bn	$5.70
2032E	$14.25bn	+3.2%	$7.83bn	55.0%	$5.01bn	$5.60
2033E	$14.68bn	+3.0%	$7.66bn	52.2%	$4.90bn	$5.48
2034E	$15.10bn	+2.9%	$7.88bn	52.2%	$5.04bn	$5.64
2035E	$15.48bn	+2.5%	$8.08bn	52.2%	$5.17bn	$5.78

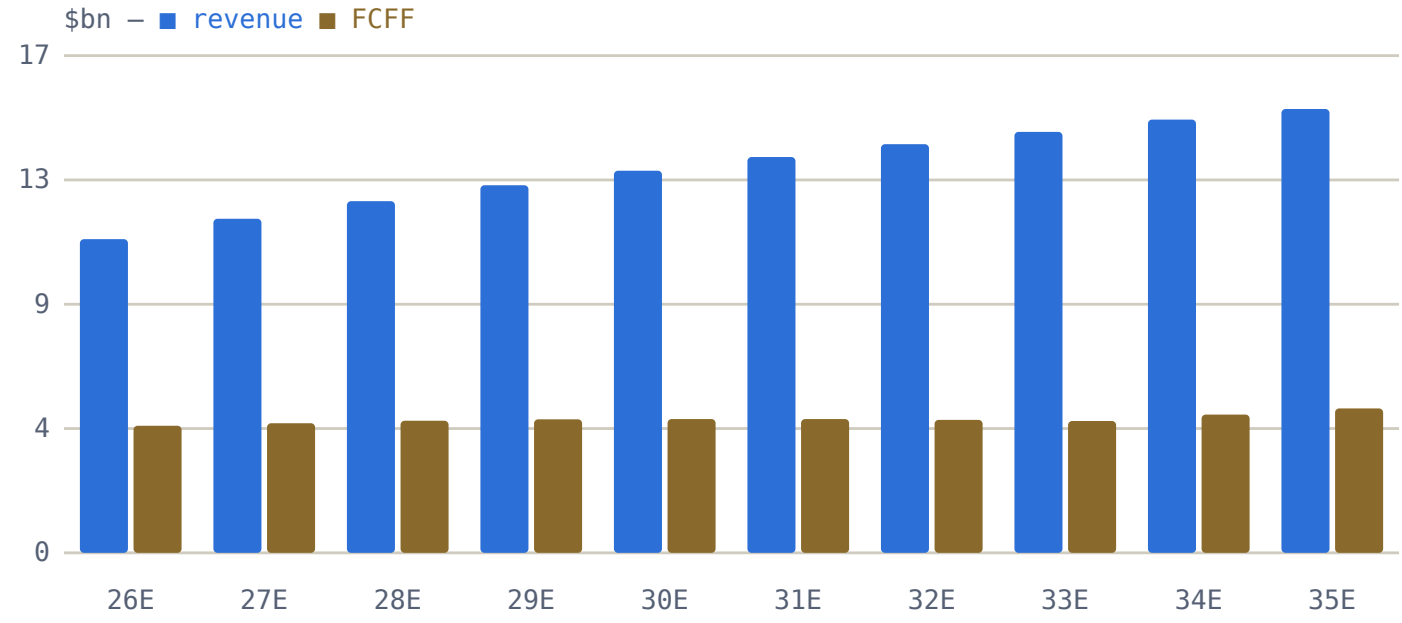
"A" marks figures taken directly from analyst consensus; other forecast rows are the DCF base case with flat interest and the normalised tax rate.

08 DCF CROSS-CHECK — DRIVERS & SENSITIVITY

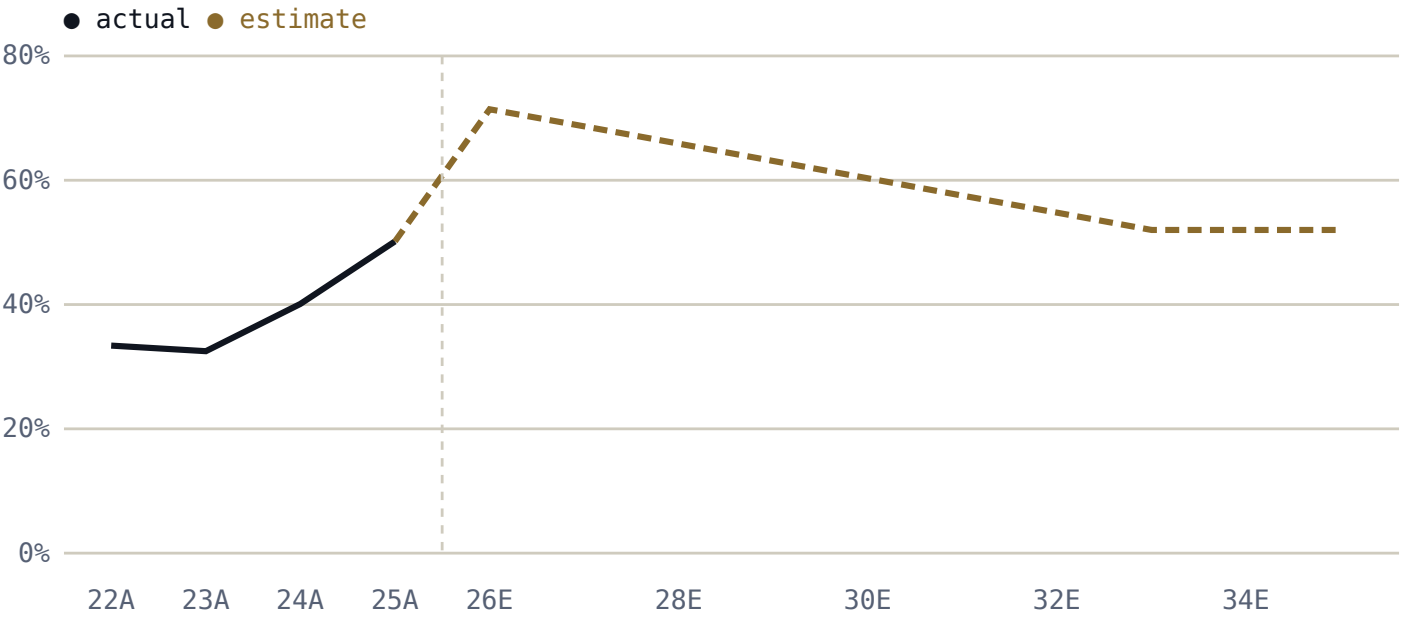
DRIVER	PATH	WHY
Revenue growth	25.0% → 2.5% over 10y	Year 1 follows consensus revenue for FY2026. Growth then decays geometrically from 8.0% to the 2.5% terminal rate as revenue compounds toward $15bn — competitive entry and the law of large numbers compress incremental growth; no single year's step is ever extrapolated.
EBIT margin	50.3% → 71.7% → 52.2% (expands)	Reported margin is 50.3%; year-1 margin is 71.7%. This is a cyclical business, so we revert 60% of the way toward the through-cycle average of 39.2%, landing at 52.2% — crediting some but not all of current profitability as durable.
Reinvestment (capex)	21.8% → 16.5% of sales	Starts at the historical capex intensity (21.8%) against D&A of 15.0%, converging to 1.10x D&A by the terminal year — a steady state that funds growth without permanent over- or under-investment.
Working capital	-3.6% of Δrevenue	Incremental working capital absorbs -3.6% of each year's revenue increase (historical median) — a source of cash (negative working-capital model).

DRIVER	PATH	WHY
Tax rate	35.0%	Normalised to the trailing effective rate of 35.0%, applied to EBIT to derive NOPAT.
Terminal growth	2.5%	At or below long-run nominal GDP (4.0%); a mature going concern cannot outgrow the economy in perpetuity. Terminal reinvestment is g/ROIC.

REVENUE & FCFF



EBIT MARGIN PATH



EV → EQUITY BRIDGE

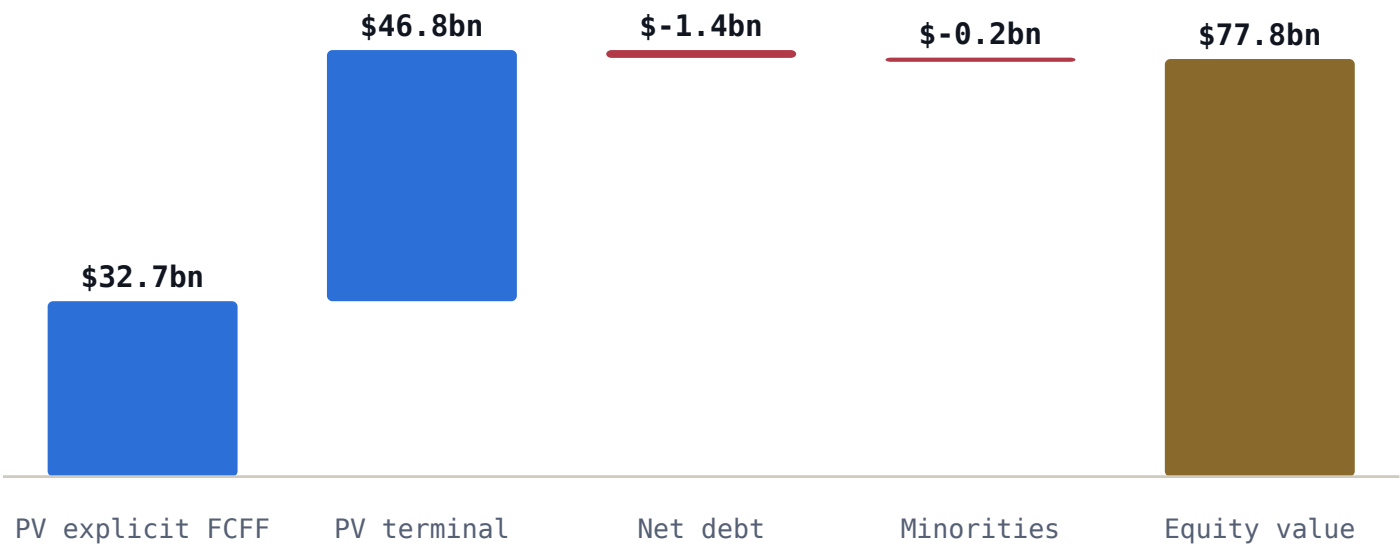


EXHIBIT · DCF VALUE PER SHARE, WACC × TERMINAL GROWTH (VS. PRICE)

WACC \ G	1.5%	2.0%	2.5%	3.0%	3.5%
6.2%	$105	$112	$121	$133	$149
7.0%	$90.63	$95.39	$101	$108	$118
7.7%	$79.75	$83.08	**$87.04**	$91.83	$97.74
8.5%	$71.22	$73.62	$76.42	$79.72	$83.68
9.2%	$64.35	$66.13	$68.16	$70.52	$73.28

Shaded against the current price: green = above, red = below. Outlined cell = base case.

The business earns **30.1%** on capital versus a **7.7%** cost of capital — a positive spread of **2235bps**, so growth creates value. Self-funding growth of 2.5% (reinvestment 8% × ROIC) frames how much of the terminal growth is organically financed rather than assumed.

Model diagnostics

Terminal EV/EBITDA vs today	9.1x implied vs 5.8x current	RICH
Terminal ROIC vs WACC	30.1% vs 7.7%	OK

09 RATIO ANALYSIS — LEVERAGE, COVERAGE & RETURNS

METRIC	FY2022A	FY2023A	FY2024A	FY2025A
Net debt / EBITDA	0.3x	0.5x	0.8x	0.2x
EBIT / interest	19.8x	23.3x	41.5x	36.5x
ROE	16.9%	15.7%	23.9%	42.3%

METRIC	FY2022A	FY2023A	FY2024A	FY2025A
ROIC (NOPAT/IC)	19.0%	17.3%	18.7%	29.0%
FCF conversion (FCFF/NOPAT)	62%	52%	60%	90%
Capex / D&A	1.27x	1.33x	1.89x	1.52x

10 FACTOR SENSITIVITY MAP — WHAT MOVES THIS STOCK

TYPE	FACTOR	EXPOSURE	EVIDENCE	WHY / MECHANISM
Macro	**Interest rates / discount rate**	HIGH	75bps of WACC ≈ $12.40/sh (14%); TV = 59% of EV	Long-duration cash flows: the further out the value sits (terminal-heavy), the more a shift in rates or the equity risk premium re-prices the stock, independent of operations.
Macro	**Economic cycle / demand**	HIGH	Revenue growth volatility σ = 27.7% over 3y	Historical top-line dispersion is the cleanest read on cyclicality: a stable compounding base decouples from GDP; a volatile one imports the macro cycle into earnings.
Macro	**Inflation / input costs**	LOW	−100bps EBIT margin ≈ −$1.77/sh; margin σ = 7.1%	Cost pass-through is the test: firms with pricing power hold margin through inflation; historical margin volatility shows how much of past cost shocks reached the P&L.
Macro	**Credit & refinancing**	LOW	Net debt/EBITDA = 0.2x; EBIT/interest = 36.5x	Leverage converts operating shortfalls into equity stress: the higher the stack, the more a slowdown or a repricing of debt costs flows straight to the equity holder.
Macro	**Commodity prices**	HIGH	Spot margin 50% vs through-cycle 39%	Realised prices set margins more than management does; the gap between spot and mid-cycle margin is the mean-reversion risk embedded in today's earnings.
Micro	**Competitive erosion**	LOW	ROIC–WACC spread = 2,235bps	Excess returns invite entry: the wider the spread, the bigger the prize for competitors — but also the bigger the buffer before growth stops creating value. A thin spread means small competitive slippage flips growth to value destruction.
Micro	**Execution vs expectations**	HIGH	Implied y1 growth 15.0% vs base 25.0%	Market expects LESS than our base — upside on delivery. The equity reprices on the gap between delivery and what the tape already discounts, not on absolute results.
Micro	**Capital intensity**	HIGH	Capex/D&A = 1.45x; capex = 21.8% of sales	Above 1x, the business must keep buying its own growth — FCF conversion stays hostage to the reinvestment cycle; below 1x, depreciation overstates true capital needs and cash conversion runs ahead of earnings.

TYPE	FACTOR	EXPOSURE	EVIDENCE	WHY / MECHANISM
Micro	**Pricing power / margin stability**	HIGH	`EBIT margin σ = 7.1% (range 33%–50%)`	Stable margins across cycles are the fingerprint of pricing power; wide swings say the company is a price-taker whose profitability belongs to the environment, not the franchise.

11 CATALYSTS & WHAT EACH LEVER IS WORTH

- **Cost of capital:** every 75bps of WACC moves fair value by ≈$12.40/share (14%). Rate path and the equity risk premium are the single biggest swing factor.
- **Terminal growth:** 50bps of perpetuity growth is worth ≈$4.37/share — the market's read on the company's long-run competitive position.
- **Operating margin:** each 100bps of EBIT margin across the forecast is worth ≈$1.77/share — watch pricing power, mix and cost discipline in quarterly prints.
- **Top-line delivery:** our base assumes 25.0% year-one growth fading to 2.5%; sustained beats/misses versus that glide path are the cleanest re-rating trigger either way.

12 KEY RISKS

- Earnings are cyclically elevated: forward EPS is 3.2x the through-cycle average. A normalisation of pricing, volumes or margins would reset the earnings base the multiples are applied to.
- Through-cycle margin and multiple are estimates; a structurally lower commodity price or cost inflation would reset the normalised earnings base.
- Estimate risk: consensus forecasts can be revised sharply, and the forward-multiple lenses move one-for-one with the earnings they are applied to.
- Multiple risk: target multiples are anchored on sector medians; a de-rating of the peer group lowers the target regardless of company performance.
- Single third-party data source: restatements, non-recurring items or classification differences can shift the output.

Methodology & disclaimer. Generated by an automated, sector-aware valuation engine from public data (Yahoo snapshot as of 2026-07-08). GFI was classified as **Cyclical / Commodities (mid-cycle multiples + DCF)**. The 12-month price target triangulates several lenses — target multiples on consensus forward earnings (peer/sector-anchored and adjusted for durable growth, leverage and earnings durability), a 10-year DCF with decaying growth and mean-reverting margins, and sector-specific models — weights them by profile, applies plausibility guardrails, rolls the result forward at the cost of equity net of dividends, and lightly anchors it to Street consensus when available. Reference multiples are long-run developed-market medians; live peer medians replace them when fetched. Forward numbers come from analyst consensus where available and from reported figures otherwise; they are not a substitute for fundamental judgement. Nothing here is investment advice, a recommendation, or an offer to transact. Do your own due diligence.